3M 2023Q2 10Q

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UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
WASHINGTON, D.C. 20549
FORM 10-Q
Q QUARTERLY REPORT PURSUANT TO SECTION 13 OR I5(d) OF THE SECURITIES EXCHANGE ACT OF 1934
For the quarterly period ended June 30, 2023
- TRANSITION REPORT PURSUANT TO SECTION 13 OR 15 (d) OF THE SECURITIES EXCHANGE ACT OF 1934
For the transition period from
$\qquad$
Commission file number: $\mathbf{1 - 3 2 8 5}$
3M COMPANY
(Exact name of registrant as specified in its charter)

Delaware
(State or other jurisdiction of incorporation)
3M Center, St. Paul, Minnesota
(Address of Principal Executive Offices)
$41-0417775$
(IRS Employer Identification No.)
$55144-1000$
(Zip Code)
(Registrant's Telephone Number, Including Area Code) (651) 733-1110
Not Applicable
(Former Name or Former Address, if Changed Since Last Report)
Securities registered pursuant to Section 12(b) of the Act:

Title of each class
Common Stock, Par Value $\$ .01$ Per Share

Trading Symbol(s)
MMM
MMM
MMM26
MMM30
MMM31

Name of each exchange on which registered
New York Stock Exchange
Chicago Stock Exchange, Inc.
New York Stock Exchange
New York Stock Exchange
New York Stock Exchange

Note: The common stock of the Registrant is also traded on the SIX Swiss Exchange.
Indicate by check mark whether the registrant (1) has filed all reports required to be filed by Section 13 or 15 (d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days. Yes $\mathbf{\square}$ No $\square$

Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T (8232.405 of this chapter) during the preceding 12 months (or for such shorter period that the registrant was required to submit such files). Yes $\mathbf{\square}$ No $\square$

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, a smaller reporting company, or an emerging growth company. See the definitions of "large accelerated filer," "accelerated filer," "smaller reporting company," and "emerging growth company" in Rule 12 b - 2 of the Exchange Act.:

Large accelerated filer
■
Accelerated filer

Non-accelerated filer
Smaller reporting company
Emerging growth company
If an emerging growth company, indicate by cheek mark if the registrant has elected not to use the extended transition period for complying with any new or revised financial accounting standards provided pursuant to Section 13(a) of the Exchange Act. ■

Indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Exchange Act). Yes $\square$ No ${ }^{-}$
Indicate the number of shares outstanding of each of the issuer's classes of common stock, as of the latest practicable date.
Class
Outstanding at June 30, 2023
Common Stock, $\$ 0.01$ par value per share
$551,992,430$ shares

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3M COMPANY

Form 10-Q for the Quarterly Period Ended June 30, 2023

\begin{tabular}{|c|c|c|}

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3M COMPANY

FORM 10-Q

For the Quarterly Period Ended June 30, 2023

PART I. Financial Information

Item 1. Financial Statements.

3M Company and Subsidiaries

Consolidated Statement of Income (Loss)
(Unaudited)

\begin{tabular}{|c|c|c|c|c|c|c|c|c|}
\multirow[b]{2}{*}{(Millions, except per share amounts)} & \multicolumn{4}{|c|}{Three months ended June 30,} & \multicolumn{4}{|c|}{Six months ended June 30,} \\
& \multicolumn{2}{|c|}{2023} & \multicolumn{2}{|c|}{2022} & \multicolumn{2}{|c|}{2023} & \multicolumn{2}{|r|}{2022} \\
Net sales & \$ & 8,325 & \$ & 8,702 & \$ & 16,356 & \$ & 17,531 \\
& & & & & & & & \\
\multicolumn{9}{|l|}{Operating expenses} \\
Cost of sales & & 4,606 & & 5,093 & & 9,219 & & 9,919 \\
Selling, general and administrative expenses & & 12,204 & & 3,023 & & 13,909 & & 4,905 \\
Research, development and related expenses & & 473 & & 476 & & 945 & & 956 \\
Total operating expenses & & 17,283 & & 8,592 & & 24,073 & & 15,780 \\
Operating income (loss) & & $(8,958)$ & & 110 & & $(7,717)$ & & 1,751 \\
\multicolumn{9}{|l|}{} \\
Other expense (income), net & & 65 & & 50 & & 117 & & 88 \\
\multicolumn{9}{|l|}{} \\
Income (loss) before income taxes & & $(9,023)$ & & 60 & & $(7,834)$ & & 1,663 \\
Provision (benefit) for income taxes & & $(2,184)$ & & (23) & & $(1,974)$ & & 279 \\
Income (loss) of consolidated group & & $(6,839)$ & & 83 & & $(5,860)$ & & 1,384 \\
\multicolumn{9}{|l|}{} \\
Income (loss) from unconsolidated subsidiaries, net of taxes & & 3 & & (1) & & 5 & & 1 \\
Net income (loss) including noncontrolling interest & & $(6,836)$ & & 82 & & $(5,855)$ & & 1,385 \\
\multicolumn{9}{|l|}{} \\
Less: Net income (loss) attributable to noncontrolling interest & & 5 & & 4 & & 10 & & 8 \\
\multicolumn{9}{|l|}{} \\
Net income (loss) attributable to 3 M & \$ & $(6,841)$ & $\$$ & 78 & \$ & $(5,865)$ & $\$$ & 1,377 \\
\multicolumn{9}{|l|}{} \\
Weighted average 3 M common shares outstanding - basic & & 553.9 & & 571.0 & & 553.3 & & 571.6 \\
Earnings (loss) per share attributable to 3 M common shareholders - basic & \$ & (12.35) & \$ & 0.14 & \$ & (10.60) & \$ & 2.41 \\
\multicolumn{9}{|l|}{} \\
Weighted average 3 M common shares outstanding - diluted & & 553.9 & & 572.7 & & 553.3 & & 573.8 \\
$\underline{\text { Earnings (loss) per share attributable to } 3 \mathrm{M} \text { common shareholders - diluted }}$ & \$ & (12.35) & \$ & 0.14 & \$ & (10.60) & \$ & 2.40 \\

\end{tabular}

The accompanying Notes to Consolidated Financial Statements are an integral part of this statement.

3M Company and Subsidiaries

Consolidated Statement of Comprehensive Income (Loss) (Unaudited)

\begin{tabular}{|c|c|c|c|c|c|c|c|c|}
\multirow[b]{2}{*}{(Millions)} & \multicolumn{4}{|c|}{Three months ended June 30,} & \multicolumn{4}{|c|}{Six months ended June 30,} \\
& \multicolumn{2}{|c|}{2023} & \multicolumn{2}{|c|}{2022} & \multicolumn{2}{|c|}{2023} & \multicolumn{2}{|c|}{2022} \\
Net income (loss) including noncontrolling interest & \$ & $(6,836)$ & \$ & 82 & \$ & $(5,855)$ & \$ & 1,385 \\
\multicolumn{9}{|l|}{Other comprehensive income (loss), net of tax:} \\
Cumulative translation adjustment & & 25 & & (705) & & 141 & & (876) \\
Defined benefit pension and postretirement plans adjustment & & 50 & & 85 & & 101 & & 172 \\
Cash flow hedging instruments & & 23 & & 88 & & (1) & & 87 \\
Total other comprehensive income (loss), net of tax & & 98 & & (532) & & 241 & & (617) \\
Comprehensive income (loss) including noncontrolling interest & & $(6,738)$ & & (450) & & $(5,614)$ & & 768 \\
Comprehensive (income) loss attributable to noncontrolling interest & & (6) & & — & & (11) & & (3) \\
Comprehensive income (loss) attributable to 3 M & \$ & $(6,744)$ & \$ & (450) & \$ & $(5,625)$ & \$ & 765 \\

\end{tabular}

The accompanying Notes to Consolidated Financial Statements are an integral part of this statement.

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3M Company and Subsidiaries Consolidated Balance Sheet

(Unaudited)

\begin{tabular}{|c|c|c|c|c|}
(Dollars in millions, except per share amount) & \multicolumn{2}{|r|}{June 30, 2023} & \multicolumn{2}{|r|}{December 31, 2022} \\
\multicolumn{5}{|l|}{Assets} \\
\multicolumn{5}{|l|}{Current assets} \\
Cash and cash equivalents & \$ & 4,258 & \$ & 3,655 \\
Marketable securities - current & & 56 & & 238 \\
Accounts receivable - net of allowances of $\mathbf{\$ 1 6 0}$ and $\$ 174$ & & 4,947 & & 4,532 \\
\multicolumn{5}{|l|}{Inventories} \\
Finished goods & & 2,526 & & 2,497 \\
Work in process & & 1,527 & & 1,606 \\
Raw materials and supplies & & 1,227 & & 1,269 \\
Total inventories & & 5,280 & & 5,372 \\
Prepaids & & 674 & & 435 \\
Other current assets & & 539 & & 456 \\
Total current assets & & 15,754 & & 14,688 \\
Property, plant and equipment & & 26,459 & & 25,998 \\
Less: Accumulated depreciation & & $(17,248)$ & & $(16,820)$ \\
Property, plant and equipment - net & & 9,211 & & 9,178 \\
Operating lease right of use assets & & 812 & & 829 \\
Goodwill & & 12,869 & & 12,790 \\
Intangible assets - net & & 4,470 & & 4,699 \\
Other assets & & 5,764 & & 4,271 \\
Total assets & \$ & 48,880 & \$ & 46,455 \\
\multicolumn{5}{|l|}{Liabilities} \\
\multicolumn{5}{|l|}{Current liabilities} \\
Short-term borrowings and current portion of long-term debt & \$ & 3,033 & \$ & 1,938 \\
Accounts payable & & 3,231 & & 3,183 \\
Accrued payroll & & 785 & & 692 \\
Accrued income taxes & & 172 & & 259 \\
Operating lease liabilities - current & & 244 & & 261 \\
Other current liabilities & & 3,471 & & 3,190 \\
Total current liabilities & & 10,936 & & 9,523 \\
Long-term debt & & 12,954 & & 14,001 \\
Pension and postretirement benefits & & 1,912 & & 1,966 \\
Operating lease liabilities & & 570 & & 580 \\
Other liabilities & & 14,651 & & 5,615 \\
Total liabilities & & 41,023 & & 31,685 \\
\multicolumn{5}{|l|}{Commitments and contingencies (Note 14)} \\
\multicolumn{5}{|l|}{Equity} \\
\multicolumn{5}{|l|}{3M Company shareholders' equity:} \\
Common stock par value, $\$ .01$ par value; 944,033,056 shares issued & & 9 & & 9 \\
\multicolumn{5}{|l|}{Shares outstanding - June 30, 2023: 551,992,430} \\
\multicolumn{5}{|l|}{Shares outstanding - December 31, 2022: 549,245,105} \\
Additional paid-in capital & & 6,858 & & 6,691 \\
Retained earnings & & 40,290 & & 47,950 \\
Treasury stock, at cost: & & $(32,926)$ & & $(33,255)$ \\
\multicolumn{5}{|l|}{Shares at June 30, 2023: 392,040,626} \\
\multicolumn{5}{|l|}{Shares at December 31, 2022: 394,787,951} \\
Accumulated other comprehensive income (loss) & & $(6,433)$ & & $(6,673)$ \\
Total 3M Company shareholders' equity & & 7,798 & & 14,722 \\
Noncontrolling interest & & 59 & & 48 \\
Total equity & & 7,857 & & 14,770 \\
Total liabilities and equity & \$ & 48,880 & \$ & 46,455 \\

\end{tabular}

The accompanying Notes to Consolidated Financial Statements are an integral part of this statement.

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3M Company and Subsidiaries Consolidated Statement of Cash Flows \\ (Unaudited)

\begin{tabular}{|c|c|c|c|c|}
\multirow[b]{2}{*}{(Millions)} & \multicolumn{4}{|c|}{Six months ended June 30,} \\
& \multicolumn{2}{|c|}{2023} & \multicolumn{2}{|c|}{2022} \\
\multicolumn{5}{|l|}{Cash Flows from Operating Activities} \\
Net income (loss) including noncontrolling interest & \$ & $(5,855)$ & \$ & 1,385 \\
\multicolumn{5}{|l|}{Adjustments to reconcile net income (loss) including noncontrolling interest to net cash provided by operating activities} \\
Depreciation and amortization & & 915 & & 921 \\
Company pension and postretirement contributions & & (57) & & (80) \\
Company pension and postretirement expense & & 75 & & 83 \\
Stock-based compensation expense & & 176 & & 182 \\
Deferred income taxes & & $(2,547)$ & & (451) \\
\multicolumn{5}{|l|}{Changes in assets and liabilities} \\
Accounts receivable & & (393) & & (457) \\
Inventories & & 101 & & (837) \\
Accounts payable & & 135 & & 401 \\
Accrued income taxes (current and long-term) & & (409) & & (9) \\
Other - net & & 10,643 & & 1,000 \\
Net cash provided by (used in) operating activities & & 2,784 & & 2,138 \\
\multicolumn{5}{|l|}{} \\
\multicolumn{5}{|l|}{Cash Flows from Investing Activities} \\
Purchases of property, plant and equipment (PP\&E) & & (852) & & (808) \\
Proceeds from sale of PP\&E and other assets & & 23 & & 56 \\
Purchases of marketable securities and investments & & (775) & & (518) \\
Proceeds from maturities and sale of marketable securities and investments & & 945 & & 456 \\
Proceeds from sale of businesses, net of cash sold & & 3 & & 13 \\
Other - net & & 37 & & (13) \\
Net cash provided by (used in) investing activities & & (619) & & (814) \\
\multicolumn{5}{|l|}{} \\
\multicolumn{5}{|l|}{Cash Flows from Financing Activities} \\
Change in short-term debt - net & & 651 & & 344 \\
Repayment of debt (maturities greater than 90 days) & & $(1,802)$ & & $(1,179)$ \\
Proceeds from debt (maturities greater than 90 days) & & 1,107 & & 1 \\
Purchases of treasury stock & & (29) & & (773) \\
Proceeds from issuance of treasury stock pursuant to stock option and benefit plans & & 218 & & 227 \\
Dividends paid to shareholders & & $(1,655)$ & & $(1,700)$ \\
Other - net & & (9) & & (22) \\
Net cash provided by (used in) financing activities & & $(1,519)$ & & $(3,102)$ \\
\multicolumn{5}{|l|}{} \\
Effect of exchange rate changes on cash and cash equivalents & & (43) & & (64) \\
\multicolumn{5}{|l|}{} \\
Net increase (decrease) in cash and cash equivalents & & 603 & & $(1,842)$ \\
Cash and cash equivalents at beginning of year & & 3,655 & & 4,564 \\
Cash and cash equivalents at end of period & \$ & 4,258 & \$ & 2,722 \\

\end{tabular}

The accompanying Notes to Consolidated Financial Statements are an integral part of this statement.

3M Company and Subsidiaries Notes to Consolidated Financial Statements (Unaudited)

NOTE 1. Significant Accounting Policies

Basis of Presentation

The interim consolidated financial statements are unaudited but, in the opinion of management, reflect all adjustments necessary for a fair statement of the Company's consolidated financial position, results of operations and cash flows for the periods presented. These adjustments consist of normal, recurring items. The results of operations for any interim period are not necessarily indicative of results for the full year. The interim consolidated financial statements and notes are presented as permitted by the requirements for Quarterly Reports on Form 10-Q. This Quarterly Report on Form 10-Q should be read in conjunction with the Company's consolidated financial statements and notes included in its Annual Report on Form 10-K.

In the second quarter of $2023,3 \mathrm{M}$ re-consolidated the Aearo Technology and certain of its related entities (collectively, the "Aearo Entities") as a result of the court dismissal of their voluntary bankruptcy proceedings. 3M had previously deconsolidated these entities in the third quarter of 2022. The Aearo Entities have appealed the court's dismissal decision. See additional information in Note 14.

Effective in the first quarter of 2023, 3 M made changes in the measure of segment operating performance and segment composition used by 3 M 's chief operating decision maker-impacting 3M's disclosed measure of segment profit/loss (business segment operating income (loss)). Also effective in the first quarter of 2023, 3M's Consumer business segment re-aligned from four divisions to three divisions, see additional information in Note 15. 3M's disclosed disaggregated revenue was also updated as a result of these changes, see additional information in Note 2. Information provided herein reflects the impact of these changes for all periods presented.

Earnings (Loss) Per Share

The difference in the weighted average 3 M shares outstanding for calculating basic and diluted earnings per share attributable to 3 M common shareholders is a result of the dilution associated with the Company's stock-based compensation plans. Certain options outstanding under these stock-based compensation plans were not included in the computation of diluted earnings (loss) per share attributable to 3 M common shareholders because they would have had an anti-dilutive effect of 36.9 million and 36.5 million average options for the three and six months ended June 30, 2023, respectively, and 31.9 million and 27.5 million average options for the three and six months ended June 30, 2022 , respectively. In periods of net losses, these antidilutive effects include all weighted option shares outstanding and weighted average shares is the same for the calculations of both basic and diluted loss per share. The computations for basic and diluted earnings (loss) per share follow:

Earnings (Loss) Per Share Computations

\begin{tabular}{|c|c|c|c|c|c|c|c|}
\multirow[b]{2}{*}{(Amounts in millions, except per share amounts)} & \multicolumn{4}{|c|}{Three months ended June 30,} & \multicolumn{4}{|c|}{Six months ended June 30,} \\
& \multicolumn{2}{|r|}{2023} & \multicolumn{2}{|r|}{2022} & \multicolumn{2}{|r|}{2023} & \multicolumn{2}{|c|}{2022} \\
\multicolumn{9}{|l|}{Numerator:} \\
Net income (loss) attributable to 3M & \$ & $(6,841)$ & \$ & 78 & \$ & $(5,865)$ & \$ & 1,377 \\
& & & & & & & & \\
\multicolumn{9}{|l|}{Denominator:} \\
Denominator for weighted average 3 M common shares outstanding - basic & & 553.9 & & 571.0 & & 553.3 & & 571.6 \\
Dilution associated with the Company's stock-based compensation plans & & — & & 1.7 & & — & & 2.2 \\
Denominator for weighted average 3 M common shares outstanding - diluted & & 553.9 & & 572.7 & & 553.3 & & 573.8 \\
& & & & & & & & \\
Earnings (loss) per share attributable to 3 M common shareholders - basic & \$ & (12.35) & \$ & 0.14 & \$ & (10.60) & \$ & 2.41 \\
Earnings (loss) per share attributable to 3 M common shareholders - diluted & \$ & (12.35) & \$ & 0.14 & \$ & (10.60) & \$ & 2.40 \\

\end{tabular}

Supplier Finance Program Obligations

Under supplier finance programs, 3 M agrees to pay participating banks the stated amount of confirmed invoices from its designated suppliers on the original maturity dates of the invoices, generally within 90 days of the invoice date. 3 M or the banks may terminate the agreements with advance notice. Separately, the banks may have arrangements with the suppliers that provide them the option to request early payment from the banks for invoices confirmed by 3M. 3M's outstanding balances of confirmed invoices in the programs as of June 30, 2023 and December 31, 2022 were approximately $\$ 290$ million and $\$ 260$ million, respectively. These amounts are included within accounts payable on 3M's consolidated balance sheet.

New Accounting Pronouncements

Refer to Note 1 to the Consolidated Financial Statements in 3M's 2022 Annual Report on Form 10-K for a discussion of applicable standards issued and not yet adopted by 3M.

NOTE 2. Revenue

Contract Balances:
Deferred revenue primarily relates to revenue that is recognized over time for one-year software license contracts. Deferred revenue (current portion) as of June 30 , 2023 and December 31, 2022 was $\$ 521$ million and $\$ 538$ million, respectively. Approximately $\$ 150$ million and $\$ 350$ million of the December 31 , 2022 balance was recognized as revenue during the three and six months ended June 30, 2023, respectively, while approximately $\$ 140$ million and $\$ 340$ million of the December 31 , 2021 balance was recognized as revenue during the three and six months ended June 30, 2022, respectively.

Operating Lease Revenue:
Net sales includes rental revenue from durable medical devices as part of operating lease arrangements (reported within the Medical Solutions Division), which was $\$ 146$ million and $\$ 285$ million during the three and six months ended June 30, 2023, respectively, and $\$ 148$ million and $\$ 284$ million during the three and six months ended June 30 , 2022, respectively.